of credit is issued only for financially sound importer. Exporter's bank eventually sends the document to issuing bank which releases the payment.

6. Receiving Shipping Document

The importer collects shipping documents along with the advice note of shipment of goods from the exporters. Advice note contains a written message through which exporter informs the importer about the dispatch of goods and advise him to make agreement for taking delivery of goods on arrival of goods at the port of destination. The captain of the ship informs the dock authorities about the arrival of goods on a document called Import General Manifest. The customs authorities in turn inform the importer concerned about the arrival of goods at the port.

7. Appointment of Clearing Agents

There are lot of formalities involved in clearing the goods imported from the port. Normally importer does not feel comfortable with completing the formalities by himself. In this case he may delegate the task of clearing the imported goods from the port of discharge to clearing agent who is well-versed in this job. The latter performs the job for a fee. The importer sends all the documents to the clearing agent to enable him to take delivery of goods after fulfilling the customs formalities prescribed in this regard.

8. Fulfillment of Customs Formalities

Clearing agent engaged by the importer performs the following activities in connection with taking delivery of goods from the port.

i) Getting Endorsement for Delivery

The clearing agent gets bill of lading endorsed by importer in his favour to enable him to take delivery of goods and approaches the shipping company. Where the freight is not paid, the clearing agent pays it. The shipping company may give a separate delivery order after collecting the freight charges or it may simply endorse on the bill of lading by the importer or by his agent itself as a proof payment of freight charges.

ii) Payment of Dock Dues

The clearing agent submits two copies of filled in Application form to "Landing and Shipping Dues Office. This office levies charges on all the imported goods. The clearing agent has to pay Dock charges by Dock challan. After paying dock charges 'Landing and Shipping Due Office stamps on the application form itself with wordings like Dock charges paid' or it may issue a separate receipt called Post Trust Dues Receipt.

iii) Preparation of Bill of Entry

Bill of Entry is prepared in triplicate in order to pay custom duty. This document contains the details like name and address of importer, the name of the ship, full description of the goods, number of packages, importer and exporter code (IEC) name of the exporting country and custom duty payable. Bill of Entry is issued in three colours. The black form is meant for non-dutiable goods while the blue form is meant for the goods within the country and the violet is intended for re-export. Import duty is calculated on the basis of details given in the bill of entry by customs authorities. Where the importer / clearing agent does not know

Commerce 26_33.indd 270 13/12/2022 13:07:14